

2023

MBA

4th Semester Examination

INTERNATIONAL BUSINESS

PAPER : MBA-404

Full Marks : 80

Time : 3 hours

The figures in the right-hand margin indicate marks.

*Candidates are required to give their answers
in their own words as far as practicable.*

Illustrate the answers wherever necessary.

Answer from **both** the Groups as directed.

GROUP—A

Answer any **eight** questions from the following :

5×8=40

1. State the importance of international business. 5
2. Distinguish between BOP and BOT. 5
3. Write a short note on 'contract manufacturing' 5

4. Why is balance of payment important for a country? 5
5. Discuss the important outcomes of Bretton Woods Agreement. 5
6. Find the current account balance from the following information. The particulars are : export of goods ₹1,500 crores, import of goods ₹1,300 crores, export of services ₹500 crores, import of services ₹400 crores, income receipts ₹400 crores, income payments ₹500 crores, gifts ₹100 crores. 5
7. Narrate the different types of foreign trade. 5
8. Write short note on the direction of India's Foreign Trade. 5
9. Explore the factors influencing the composition of a country's foreign trade. 5
10. Write the contribution of foreign trade to economic growth. 5
11. Discuss the major objectives of India's EXIM Policy. 5
12. Write short note on "Foreign Portfolio Investment". 5

(3)
GROUP—B

Answer *any four* questions from the following :

10×4=40

- 13.** Explain absolute advantage theory using a suitable example. 10
- 14.** Discuss various benefits and risks associated with FDI. 10
- 15.** Find the merchandise trade balance, net exports of services, the current account balance and the capital account balance from the following particulars :
- Merchandise exports ₹1,000 crore, merchandise imports ₹1,250 crore, tourism exports ₹900 crore, insurance imports ₹800 crore, income received from abroad ₹1,110 crore, interest payment to foreigners ₹1,150 crore, increase in domestic ownership of foreign assets ₹1,160 crore and increase in foreign ownership of domestic asset ₹200 crore. Assume that the unilateral transfer is equal to ₹100 crore. 10
- 16.** Discuss the main functions of EXIM bank and how it supports the growth of Foreign Trade in a country. 6+4=10
- 17.** Compare and contrast fixed exchange rate mechanisms and floating exchange rate mechanisms. 5+5=10

(4)

18. Analyze the factors that influence exchange rates in the foreign exchange market. Discuss, how changes in these factors can impact the value of a country's currency. 5+5=10

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